

A Formal Model of Donor Intervention in Party Leadership Races

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Introduction

Money plays a central role in modern politics, shaping incentives, strategies, and outcomes across a wide range of political arenas. A large part of literature studies how financial resources affect elections, lobbying, and policymaking, yet much less attention has been paid to the role of money in internal party processes that precede legislative decision-making. In particular, leadership selection within legislatures constitutes a critical but understudied stage at which external actors may exert influence with long-lasting policy consequences.

The role of party leaders is not only symbolic. They can control access to the legislative agenda, shape committee assignments, and coordinate caucus strategy within or outside parliament. Therefore, leadership contests represent high-stakes events in which shifts in perceived viability can translate into differences in political power and policy direction. Despite that, leadership selection is treated as an internal party matter, driven by ideology, seniority, or factional balance, and largely insulated from external financial influence.

This paper argues that leadership contests constitute a key way through which donors can shape policy outcomes indirectly. Rather than influencing elections or lobbying sitting legislators, donors may intervene earlier by allocating financial resources during leadership races. Such contributions can affect perceptions of candidate viability among party members, alter leadership probabilities, and ultimately shift the policy implemented by the party once a leader is selected.

To study this mechanism, the paper develops a simple formal model of leadership selection with donor intervention. In the model, two leadership candidates differ in ideological positions and intrinsic leadership capital. A forward-looking donor strategically allocates contributions between candidates, anticipating how fundraising signals influence the caucus's probabilistic choice of leader. The selected leader then implements her preferred policy. The model isolates a clean and tractable channel through which donor contributions affect policy outcomes without requiring direct lobbying, vote-buying, or repeated interaction.

The analysis yields three main results. First, equilibrium contributions are targeted: donors support only the candidate whose policy position is closest to their own. Second, the optimal level of contribution balances marginal ideological gains against the cost of fundraising, generating both interior and corner solutions. Third, donor intervention systematically biases expected policy outcomes toward donor preferences by increasing the likelihood that a preferred leader is selected. These effects arise even though donors do not interact directly with legislators once leadership is chosen.

By focusing on leadership contests rather than elections or roll-call voting, this paper contributes to the literature on money in politics and formal models of legislative organization. It highlights an underexplored channel of political influence and offers a framework for understanding how donor activity can shape policy indirectly through internal party institutions.

The remainder of the paper is structured as follows: section 2 reviews the related literature, section 3 introduces the model, section 4 exposes the equilibrium, section 5 exposes the results, and section 6 provides a conclusion.

Literature Review

This paper relates to several strands of the political economy, legislative politics, and formal theory literature concerned with the role of money in politics, the internal organization of political parties, and the consequences of leadership selection for policy outcomes. A large body of work studies how financial resources affect political incentives and decisions. Seminal formal models conceptualize political influence as arising from lobbying activities, in which organized interests exchange resources for favorable policy outcomes (Grossman and Helpman 1994, 2001). Other contributions emphasize electoral competition as the primary channel through which money shapes politics, highlighting how campaign contributions affect candidates' strategic behavior, voter information, and policy positioning (Baron 1994, 2006). Related work models campaign contributions as a means of gaining access to policymakers or transmitting information, rather than directly purchasing policy outcomes (Austen-Smith 1995). Together, these approaches establish a canonical framework in which donor influence operates either

through elections or through direct interaction with policymakers once they hold office. A substantial empirical literature complements these formal models by examining the relationship between campaign contributions and legislative behavior. Early studies show how moneyed interests shape agenda-setting and committee activity within Congress, influencing which issues receive attention and resources (Hall and Wayman 1990). Other work argues that observed levels of campaign spending are incredibly low relative to the size of government, suggesting that simple vote-buying interpretations of money in politics are insufficient (Ansolabehere and Snyder 2003). Later empirical analyses focus on access and elite responsiveness, showing that contributions facilitate meetings and communication with policymakers even when their effects on roll-call voting are limited (Kalla and Broockman 2016). Reviewing this literature, Stratmann (Stratmann 2005) emphasizes that while estimates of influence vary widely, financial resources systematically affect political incentives and behavior. Across both formal and empirical contributions, however, donor influence is overwhelmingly modeled as operating either through elections or through policymaking stages that occur after politicians are already in office.

Recent work has begun to explore subtler channels of influence. Bonica (Bonica 2016) shows how corporate donors and executives use financial contributions to shape who holds key positions in government, not only what they do once elected. Fremeth et al. (Fremeth, Holburn, and Vining 2023) argue that organized interests “strategically target pivotal political actors,” including those with agenda control and nomination authority, highlighting the importance of targeting influence within political hierarchies. Bouton et al. (Bouton et al. 2022) develop a formal model in which large donors behave strategically and forward-looking, investing in candidates who are most likely to win and exert policy influence. In equilibrium, these donors act as Stackelberg leaders, anticipating the reactions of other contributors and responding to prior ideological distances and expected policy returns. Empirically, they find that large donors concentrate support on viable candidates and withdraw when electoral chances are low, suggesting a logic of targeted contributions that aligns with probabilistic success and ideological proximity.

These insights are echoed in empirical research on leadership selection. Pruyzers (Pruyzers 2024) studies leadership primaries in Canadian parties and shows that donors are not passive observers but actively mobilized to support particular candidates. His findings indicate that donors view leadership races as high-stakes events and that their behavior is conditional on competitiveness and perceived viability, explaining why some contests receive substantial financial backing while others attract little to none. Moreover, he notes that many donors leave the party after their preferred candidate loses, further confirming that their support is contingent and candidate-specific. This evidence reinforces the view that leadership selection offers a consequential moment in which external actors can influence party direction, even in the absence of general elections.

A second strand of research emphasizes the internal organization of political parties and the importance of leadership positions within legislative institutions. Parties cannot be treated as unitary actors: they can be defined as large and complex organizations in which leaders exercise disproportionate control over agenda access, procedural rules, and intra-party bargaining (Cox and McCubbins 1993, 2005). Leaders play a central role in defining legislative outcomes by coordinating voting blocs, allocating resources, and structuring debate (Aldrich 1995; Rohde 1991). Empirical studies confirm that this control extends beyond formal rules: Sinclair (Sinclair 2012) and Jenkins and Stewart (Jenkins and Stewart 2013) show that leaders shape floor procedures and manage legislative discipline, effectively guiding the party’s output. Recent experimental work by Fowler (Fowler 2026) demonstrates that in the absence of a leader, rank-and-file legislators are less partisan and more ideologically moderate, while leaders act as centralizing forces that shift behavior toward the ideological core of the party. Together, these findings reinforce the idea that leadership selection acts as a bottleneck mechanism: who becomes leader conditions the distribution of power and the direction of policy, even without formal changes in party membership or voter preferences.

Formal theory has also produced a wide set of models analyzing leadership, organizational power, and authority within political institutions. Contributions in this tradition study how leaders emerge, how they coordinate followers, and how leadership affects col-

lective outcomes, often emphasizing informational advantages, coordination problems, and intrinsic leadership qualities (Dewan and Myatt 2007; Gehlbach 2013). Related work models learning, reputation, and career concerns as central determinants of political authority and advancement within organizations (Patty 2008; Ashworth 2005). Other models emphasize expertise and valence-like attributes as sources of leadership influence and credibility (Callander 2008). While these formal frameworks provide important insights into the internal dynamics of leadership and organization, donor behavior and financial resources are typically absent from the analysis. As a result, leadership selection is treated as endogenous to internal party dynamics but exogenous to external political actors, leaving unexplored the possibility that donors strategically intervene at this stage.

Taken together, existing research either models donor influence in elections and policymaking or analyzes leadership selection without external financial intervention. To the best of my knowledge, no formal model links donor contributions in leadership contests to downstream policy outcomes through the mechanism of leadership selection. This paper fills this gap by developing a simple formal model in which donors strategically allocate contributions during leadership races in order to affect perceived candidate viability. By influencing leadership selection, donor intervention generates shifts in expected policy outcomes, even in the absence of direct lobbying or legislative bargaining. In doing so, the purpose of the paper is to connect the literature on money in politics with formal models of intra-party organization and leadership, highlighting leadership contests as an underexplored but consequential channel through which financial resources can shape political outcomes.

The Leadership Selection Game

This section presents the formal model used to analyze the role of donor contributions in party leadership selection. Building on the argument developed in the previous section, the model captures how external financial support can affect leadership viability and, through it, downstream policy outcomes. The framework is intentionally stylized to isolate a specific mechanism: donor intervention during leadership contests as a channel

of political influence operating before legislative decision-making.

The section proceeds as follows. I first introduce the actors and their preferences. I then describe the sequence of the game and the informational environment in which the actors interact. Finally, I specify the leadership-selection rule, the policy-implementation stage, and the donor’s payoff structure.

Players and Preferences

There are three types of actors within the model: two leadership candidates, a donor, and the caucus that ultimately selects through a voting procedure the party leader.

Two candidates, represented by A and B , compete for a leadership position within the legislature. For simplicity and generality, the number of candidates is reduced to two. Each of them $i \in \{A, B\}$ is characterized by two attributes. First, $x_i \in \mathbb{R}$ denotes candidate i ’s preferred policy point. Second, $\theta_i \in \mathbb{R}$ defines candidate i ’s intrinsic leadership capital, which captures baseline viability within the caucus.

Leadership capital θ_i summarizes long-term political assets that shape caucus perceptions of leadership competence. These include seniority, past performance, credibility in coordinating legislative activity, internal alliances, and the existence of a stable donor network expected to continue supporting the party under the candidate’s leadership. Caucus members anticipate that candidates with higher θ_i are better able to attract resources over time and maintain the party’s organizational capacity. Leadership capital is fixed at the beginning of the game and cannot be altered through short-run contributions.

The second actor is a donor, denoted by D , who has an ideal policy $x_D \in \mathbb{R}$. The donor can intervene in the leadership contest by providing financial contributions to either candidate. Contributions take the form of a non-negative pair $(C_A, C_B) \in \mathbb{R}_{\geq 0}^2$, where C_i denotes support for candidate i .

The third actor is the caucus, understood as the set of legislators who vote to select the party leader. Individual caucus members are not modeled explicitly. Instead, the caucus’s collective choice is represented through a reduced-form probabilistic leadership-selection rule. This approach abstracts from individual-level strategic voting while preserving aggregate responsiveness to candidate attributes and fundraising signals.

All actors observe policy preferences (x_A, x_B, x_D) and leadership capital (θ_A, θ_B) . These elements are common knowledge.

Sequence of the Game

The leadership contest is modeled as a dynamic multi-stage game. The timing reflects the institutional logic of leadership races, in which candidate characteristics are known in advance, donors intervene early, and caucus members vote under uncertainty regarding future organizational and policy outcomes.

Stage 1 - Nature and Information

Before any strategic interaction occurs, nature determines the political environment. Nature draws the ideal policy points (x_A, x_B, x_D) and the leadership capital parameters (θ_A, θ_B) . These values are observed by all actors. It is also common knowledge that the elected leader will implement her ideal policy without further bargaining.

Stage 2 - Donor Contributions

After observing the parameters set by nature, the donor moves first and chooses a contribution vector (C_A, C_B) . Contributions affect the perceived viability of candidates by signaling organizational strength and access to future fundraising capacity. At this stage, contributions are the only strategic choice available in the game.

Stage 3 - Caucus Voting

After observing leadership capital and the contribution profile, the caucus selects the leader. Because leadership selection is affected by interpersonal dynamics, factional alignments, and other unobserved factors, the outcome is modeled probabilistically rather than deterministically.

The probability that candidate A is selected as leader is given by

$$P(A) = \phi(\theta_A - \theta_B + \gamma(C_A - C_B)),$$

where $\phi(\cdot)$ is a strictly increasing function and $\gamma > 0$ captures the responsiveness of

perceived leadership viability to fundraising. This specification combines long-term political attributes with short-run signals generated during the leadership race.

Stage 4 — Policy Implementation

After the caucus selects the leader, the policy outcome is realized. Consistent with the assumption that legislative leaders possess significant agenda-setting authority, the elected leader implements her ideal policy without further strategic interaction. Formally,

$$x_L = \begin{cases} x_A & \text{with probability } P(A), \\ x_B & \text{with probability } 1 - P(A). \end{cases}$$

Leadership selection therefore determines the final policy outcome.

Donor Payoff

The donor evaluates leadership outcomes based on the policy ultimately implemented and the cost of contributing. The donor prefers policies closer to her ideal point x_D and incurs a linear cost for each unit of contribution.

Ideological preferences are captured through a quadratic loss function. The loss associated with candidate i 's policy is

$$\ell_i = (x_i - x_D)^2, \quad i \in \{A, B\}.$$

Given the leadership-selection probability $P(A)$, the donor's expected utility from choosing the contribution vector (C_A, C_B) is

$$U_D(C_A, C_B) = -[P(A)\ell_A + (1 - P(A))\ell_B] - C_A - C_B.$$

This payoff structure captures the donor's fundamental trade-off: contributions can shift leadership probabilities and thereby affect expected policy outcomes, but doing so requires the allocation of costly resources.

Leadership Selection in Equilibrium

Having defined the actors, their preferences, and the institutional environment of the game, I now characterize the equilibrium of the model. Since the donor is the only strategic actor and moves before the caucus, equilibrium behavior is fully described by the donor's optimal allocation of contributions and the resulting leadership probabilities. This section proceeds in four steps. First, I state the donor's optimization problem. Second, I introduce the equilibrium concept appropriate for this sequential environment. Third, I derive the main equilibrium results. Finally, I present comparative statics with respect to key political and institutional parameters.

Donor's Optimization Problem

Given the utility function and selection rule previously introduced, the donor decides for non-negative contributions (C_A, C_B) in order to maximize expected utility:

$$\max_{C_A, C_B \geq 0} U_D(C_A, C_B).$$

Because candidates do not take strategic action and the caucus responds mechanically via the probabilistic rule $P(A)$, the donor internalizes how contributions affect leadership probabilities and, through them, the expected implemented policy. The donor's problem is indirect and forward-looking: resources are allocated not to influence policy directly, but to alter the likelihood that a policy-setter aligned with the donor's preferences is selected as leader.

Equilibrium Concept

The appropriate solution concept is a Stackelberg equilibrium, reflecting the fact that the donor commits resources before the caucus votes.

Definition (Stackelberg Equilibrium).

A contribution vector (C_A^*, C_B^*) constitutes an equilibrium if:

1. (C_A^*, C_B^*) solves the donor's optimization problem,
2. the caucus applies the leadership-selection rule $P(A \mid C_A^*, C_B^*)$,
3. the implemented policy corresponds to the ideal point of the elected leader.

Only the donor behaves strategically, while the caucus is modeled as a reduced-form aggregator answering to observed signals of leadership viability.

Equilibrium Analysis

Let $z = \theta_A - \theta_B + \gamma(C_A - C_B)$ denote the argument of the leadership-selection function. Contributions affect equilibrium outcomes through their impact on z and on the probability that each candidate is voted as leader.

Proposition 1

In any equilibrium, the donor contributes only to the candidate who has a policy preference that is closer to her ideal point:

- If $|x_A - x_D| < |x_B - x_D|$, then $C_A^* > 0$ and $C_B^* = 0$.
- If $|x_B - x_D| < |x_A - x_D|$, then $C_B^* > 0$ and $C_A^* = 0$.
- If $|x_A - x_D| = |x_B - x_D|$, any allocation with $C_A^* = C_B^*$ is weakly optimal.

Intuition.

Contributions are expensive and influence expected utility by increasing the probability that the candidate preferred by the donor is voted by the whole caucus. Supporting the less-preferred candidate reduces the likelihood of the preferred outcome and is strictly dominated by any other option.

Optimal Contribution Level

Assume that candidate A is closer to the donor's ideal point. By Proposition 1, the donor sets $C_B^* = 0$ and chooses C_A to solve a one-dimensional problem. An interior optimum satisfies the FOC:

$$\gamma \cdot \Phi'(z^*) \cdot |\ell_A - \ell_B| = 1,$$

where z^* denotes the equilibrium value of the leadership signal. If this condition does not hold at $C_A = 0$, the donor selects the corner solution $C_A^* = 0$.

The optimal contribution equates the marginal benefit of increasing the probability of selecting the preferred leader with the marginal cost of contributing. Interior equilibria

arise when ideological stakes and caucus responsiveness are large enough, while corner solutions occur when contributions are ineffective or there are few policy differences.

Policy Implications

Let $P_0(A)$ define the probability that candidate A is elected without any sort of contributions by a donor. In equilibrium,

$$P^*(A) > P_0(A) \quad \text{whenever} \quad C_A^* > 0.$$

The expected implemented policy is given by

$$\mathbb{E}[x_L^*] = P^*(A)x_A + (1 - P^*(A))x_B,$$

which is shifted toward the donor's preferred policy relative to the counterfactual without contributions.

Proposition 2

Equilibrium contributions generate a systematic bias in expected policy outcomes toward the donor's ideal point, even in the absence of direct influence over legislative behavior.

Comparative Statics

Proposition 3

The equilibrium contribution level responds monotonically to changes in key parameters:

1. **Fundraising responsiveness** (γ): higher responsiveness increases equilibrium contributions.
2. **Ideological distance** ($|\ell_A - \ell_B|$): greater policy stakes increase equilibrium contributions.
3. **Leadership capital**: stronger baseline leadership capital of the preferred candidate weakly reduces equilibrium contributions.

These comparative statics clarify how political competition, ideological polarization,

and institutional sensitivity to fundraising shape donor intervention in leadership contests.

Conclusion

This paper develops a simple formal model to examine how donor contributions during internal leadership contests can influence political outcomes. While highly stylized, the model isolates a clean and consequential mechanism: by shifting the perceived viability of candidates, donors can indirectly affect leadership selection and, in turn, the long-run policy trajectory of a party.

A central insight is that donor behavior is targeted, not diffuse. Donors do not hedge by supporting multiple candidates; instead, they prefer to focus all their political donations on the one whose policy position is closest to their own. This strategy reflects forward-looking rational behavior under uncertainty: contributing to a less-preferred candidate only decreases the probability of electing the donor’s ideal leader, while targeted support increases expected utility. Empirical findings align with this logic. For instance, previous work model large donors as Stackelberg leaders who anticipate electoral probabilities and allocate contributions accordingly (Bouton et al. 2022). Other works, similarly, find that donors strategically invest in influential actors whose policy preferences align with their own (Bonica 2016).

The model also help explain variation in donor behavior across leadership contests. Contributions are more likely when races are increasingly competitive and fundraising is considered as a credible signal of viability. Pruyers (2024) documents this dynamic empirically: donors are mobilized into party leadership contests when multiple candidates are viable, but refrain from contributing when outcomes are predictable or uncontested. These results are consistent with the model’s comparative statics, which predict corner solutions when candidates are ideologically similar or one candidate has overwhelming leadership capital.

Most importantly, the analysis recasts leadership selection as an underappreciated channel of political influence. Donors in the model do not lobby legislators, buy votes, or intervene in roll-call decisions. Instead, they can only try to shape who controls the

internal hierarchy of the party. Since legislative leaders enjoy agenda-setting power and coordinate caucus behavior (Cox and McCubbins 2005; Sinclair 2012), influencing leadership selection has significant downstream effects. Recent experimental evidence supports this interpretation: Fowler (2026) shows that party leaders in Congress systematically shift rank-and-file voting behavior toward more partisan positions, even absent changes in membership or ideology.

The interaction between internal political strength and donor intervention is also central. Candidates with strong reputations or stable donor networks require less additional support to secure a position within the leadership. In contrast, more uncertain or competitive environments incentivize external intervention. Previous analysis highlight this logic in corporate contributions, showing that interest groups target pivotal political actors rather than spreading influence uniformly (Fremeth, Holburn, and Vining 2023). Finally, the simplicity of the model proposed in this brief analysis clarifies its limits. The caucus is modeled as a unitary actor, candidates have fixed policies, and the donor is singular. These assumptions enable the framework to focus cleanly on the logic of indirect influence; however, future work should relax these constraints to study broader forms of strategic interaction, such as competition among donors, repeated contests, or dynamic reputation-building. Nevertheless, the core takeaway remains: leadership contests are a central political arena in which financial resources, besides other mentioned factors, can shape the internal balance of power and, through it, the outcome of public policy.

In short, money in politics has an importance that goes beyond what citizens normally think of, namely elections and legislative appeals. By influencing who rises to internal leadership position, donors can exert long-term policy influence through organizational channels that are less visible to voters but central to how modern political parties function. Leadership contests, though often overlooked, are thus an important frontier for understanding how financial power translates into political outcomes.

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